

dozen points from high to low) from September to November mirrored by the sideways move from March to April means to be alert for a three peaks and domed house forming. Indeed, it did form. Lindsay says that even though the three peaks (3, 5, 7) are not on the same level, it's clear after the large drop from 7 to 10 that peaks 3, 5, and 7 are the operative ones.

Remember the rule that valley 10 must be below either 4 or 6 or both? Here's an example of the index dropping below both, completing the three peaks pattern.

He explains that there's a little three peaks pattern at ABC, which are the same as peaks 3–5–7 on the model. Point D is the same as 15 and peak 7 is the same as 23 on the model. After 7, of course, the index makes the dramatic move lower, mirroring the drop to 28 on the model. He says that the appearance of the smaller three peaks and domed house at ABC7 predicted the large drop (to 10) after point 7. When a three peaks and domed house pattern, either on the large or small scale, forms, a large decline follows.

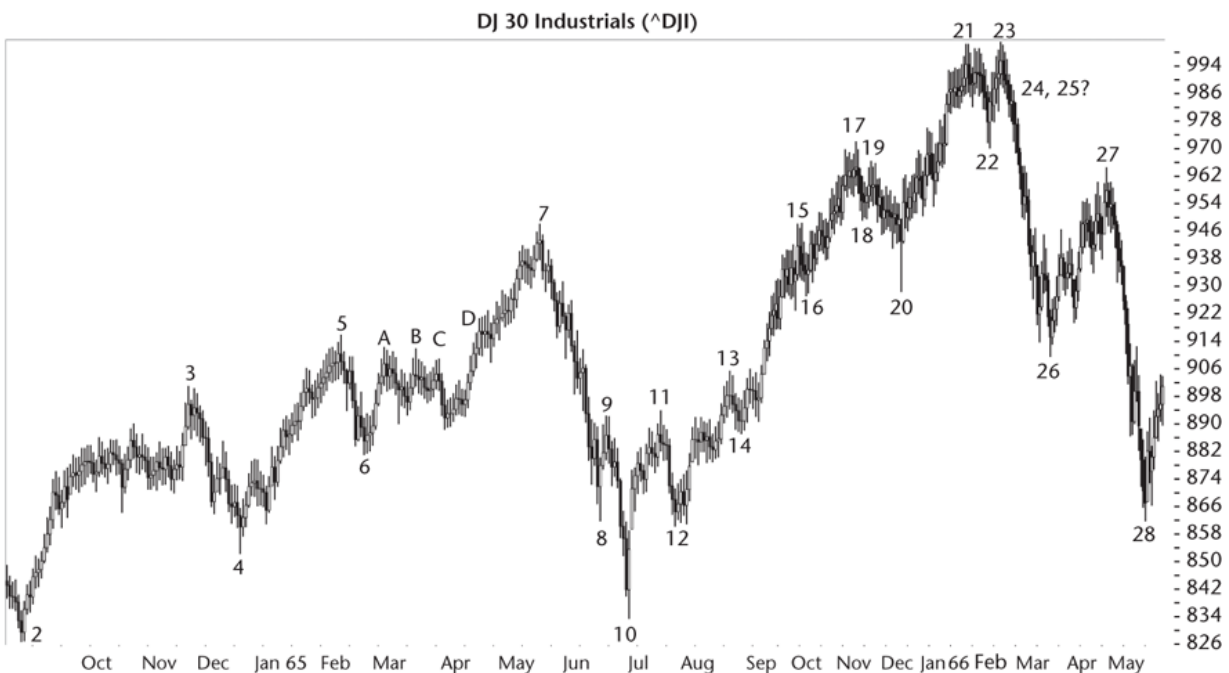


Figure 62.3 The three peaks don't come close to sharing the same price in this example.

As for duration, he says that there should be at least two tests of the low at 10 to build a satisfactory base, which should happen at 12 and 14, but don't